

Tezpur University
End Semester Examination: Spring 2025
B Tech 6th Semester
IC-361: Accounting and Financial Management

Full Marks: 50

Time: 2 hrs.

PART-A (30)*(There are six questions. Answer all the questions)*

- ✓ 1. Differentiate between Accounting and Accountancy. (5)
2. Find out the Economic Order Quantity from the following information (5)
given about materials.
Annual usage: ₹ 2, 00, 000/-
Cost of placing and receiving one order: ₹ 80/-
Annual carrying cost: 10% of inventory value.
- ✓ 3. Write a brief note about accounting concepts and conventions (5)
4. Explain the operating cycle or circular flow concept of working capital with diagram. (5)
- ✓ 5. Explain the factors to be considered before sourcing an accounting software. (5)
- ✓ 6. Explain the need for International Financial Reporting Standards (IFRS) (5)

PART-B (20)*(There are two questions. Answer any of them)*

7. (a). What is depreciation and what are the reasons for charging depreciation? (10)
Enlist the methods of calculating depreciation and elaborate any two of them.
- (b). From the following information prepare a bank reconciliation statement (10)
and determine the amount available in the Passbook as on 31.03.2025.
 - Amount available in Cash Book as on 31.03.2025: ₹ 30,00,000/-
 - Cheque issued prior to 31.03.2025 but not present for payment: ₹ 3,10,000/-
 - Draft deposited prior to 31.03.2025 but dishonored by the bank: ₹ 1,00,000/-
 - Bank charges debited by the bank, not recorded in the Cash Book: ₹ 7,000/-
 - Interest credited by the bank, not recorded in the Cash Book: ₹ 2,000/-
8. Prepare the Trading Account, Profit and Loss Account and Balance Sheet (20)
of a hypothetical company M/s Radha Ltd. as on 31.03.2025, from the data given in the next page.

Data for Question No. 8

Particulars	Debit Balance (In INR)	Credit Balance (In INR)
Opening Stock	25,000	
Purchase	72,300	
Purchase Return		11,300
Sales		1,55,000
Sales Return	12,800	
Capital		2,00,000
Drawings	5,000	
Building	1,00,000	
Plant and Machinery	50,000	
Furniture	10,000	
Loose Tools	7,000	
Sundry Debtors	1,00,000	
Bank Overdraft		30,000
Sundry Creditors		33,000
Trade Expenses	20,600	
Discount Received		5,000
Insurance	5,000	
Bank Charges	2,000	
Salaries	10,000	
Carriage Inward	2,000	
Commission	1,000	
Carriage Outward	1,000	
Wages	10,600	
Total	4,34,300	4,34,300

Additional information:

- (a) Closing stock as on 31.03.2025 of ₹ 70,000/-
- (b) Outstanding salary of ₹ 10,000/-
- (c) Prepaid Insurance of ₹ 1,000/-
- (d) Provision for bad debt: 10% of the Sundry Debtors.
- (e) Depreciation @15% on Plant and Machinery and @10% on Furniture.

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